

Apple Inc.

Annual Report (Form 10-K)

Filed with the Securities and Exchange Commission

S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrants executive officers during the relevant recovery period pursuant to 240.10D-1(b). Indicate by check mark whether the Registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes No The aggregate market value of the voting and non-voting stock held by non-affiliates of the Registrant, as of March 28, 2025, the last business day of the Registrants most recently completed second fiscal quarter, was approximately \$ 3,253,431,000,000 . Solely for purposes of this disclosure, shares of common stock held by executive officers and directors of the Registrant as of such date have been excluded because such persons may be deemed to be affiliates. This determination of executive officers and directors as affiliates is not necessarily a conclusive determination for any other purposes. 14,776,353,000 shares of common stock were issued and outstanding as of October 17, 2025. DOCUMENTS INCORPORATED BY REFERENCE Portions of the Registrants definitive proxy statement relating to its 2026 annual meeting of shareholders are incorporated by reference into Part III of this Annual Report on Form 10-K where indicated. The Registrants definitive proxy statement will be filed with the U.S. Securities and Exchange Commission within 120 days after the end of the fiscal year to which this report relates. Apple Inc. Form 10-K For the Fiscal Year Ended September 27, 2025 TABLE OF CONTENTS Page Part I Item 1. Business 1 Item 1A. 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Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters 53 Item 13 . Certain Relationships and Related Transactions, and Director Independence 53 Item 14. Principal Accountant Fees and Services 53 Part IV Item 15. Exhibit and Financial Statement Schedules 54 Item 16. Form 10-K Summary 57 This Annual Report on Form 10-K (Form 10-K) contains forward-looking statements, within the meaning of the Private Securities Litigation Reform Act of 1995, that involve risks and uncertainties. Many of the forward-looking statements are located in Part I, Item 1 of this Form 10-K under the heading Business and Part II, Item 7 of this Form 10-K under the heading Managements Discussion and Analysis of Financial Condition and Results of Operations. Forward-looking statements provide current expectations of future events based on certain assumptions and include any statement that does not directly relate to any historical or current fact. For example, statements in this Form 10-K regarding the potential future impact of macroeconomic conditions and tariffs and other measures on the Companys business and results of operations are forward-looking statements. Forward-looking statements can also be identified by words such as future, anticipates, believes, estimates, expects, intends, plans, predicts, will, would, could, can, may, and similar terms. Forward-looking statements are not guarantees of future performance and the Companys actual results may differ significantly from the results discussed in the forward-looking statements. Factors that might cause such differences include, but are not limited to, those discussed in Part I, Item 1A of this Form 10-K under the heading Risk Factors. The Company assumes no obligation to revise or update any forward-looking statements for any reason, except as required by law. Unless otherwise stated, all information presented herein is based on the Companys fiscal calendar, and references to particular years, quarters, months or periods refer to the Companys fiscal years ended in September and the associated quarters, months and periods of those fiscal years. Each of the terms the Company and Apple as used herein refers collectively to Apple Inc. and its wholly owned subsidiaries, unless otherwise stated. PART I Item 1. Business Company Background The Company designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Companys fiscal year is the 52- or 53-week period that ends on the last Saturday of September. Products iPhone iPhone is the Companys line of smartphones based on its iOS operating system. The iPhone line includes iPhone 17 Pro, iPhone Air, iPhone 17, iPhone 16 and iPhone 16e. Mac Mac is the Companys line of personal computers based on its macOS operating system. The Mac line includes laptops MacBook Air and MacBook Pro , as well as desktops iMac , Mac mini , Mac Studio and Mac Pro . iPad iPad is the Companys line of multipurpose tablets based on its iPadOS operating system. The iPad line includes iPad Pro , iPad Air , iPad and iPad mini . Wearables, Home and Accessories Wearables includes smartwatches, wireless headphones and spatial computers. The Companys line of smartwatches, based on its watchOS operating system, includes Apple Watch Series 11, Apple Watch SE 3 and Apple Watch Ultra 3. The Companys line of wireless headphones includes AirPods , AirPods Pro , AirPods Max and Beats products. Apple Vision Pro is the Companys spatial computer based on its visionOS operating system. Home includes Apple TV 4K , the Companys media streaming and gaming device based on its tvOS operating system, and HomePod and HomePod mini , high-fidelity wireless smart speakers.

Accessories includes Apple-branded and third-party accessories. Apple Inc. | 2025 Form 10-K | 1 Services Advertising The Companys advertising services include third-party licensing arrangements and the Companys own advertising platforms. AppleCare The Company offers a portfolio of fee-based service and support products under the AppleCare brand. The offerings provide priority access to Apple technical support, access to the global Apple authorized service network for repair and replacement services, and in many cases additional coverage for instances of accidental damage or theft and loss, depending on the country and type of product. Cloud Services The Companys cloud services store and keep customers content up-to-date and available across multiple Apple devices and Windows personal computers. Digital Content The Company operates various platforms, including the App Store , that allow customers to discover and download applications and digital content, such as books, music, video, games and podcasts. The Company also offers digital content through subscription-based services, including Apple Arcade , a game service; Apple Fitness+ , a personalized fitness service; Apple Music , which offers users a curated listening experience with on-demand radio stations; Apple News+ , a news and magazine service; and Apple TV , which offers exclusive original content and live sports. Payment Services The Company offers payment services, including Apple Card , a co-branded credit card, and Apple Pay , a cashless payment service. Segments The Company manages its business primarily on a geographic basis. The Companys reportable segments consist of the Americas, Europe, Greater China, Japan and Rest of Asia Pacific. Americas includes both North and South America. Europe includes European countries, as well as India, the Middle East and Africa. Greater China includes China mainland, Hong Kong and Taiwan. Rest of Asia Pacific includes Australia, New Zealand and those Asian countries not included in the Companys other reportable segments. Although the reportable segments provide similar hardware and software products and similar services, each one is managed separately to better align with the location of the Companys customers and distribution partners and the unique market dynamics of each geographic region. Markets and Distribution The Companys customers are primarily in the consumer, small and mid-sized business, education, enterprise and government markets. The Company sells its products and resells third-party products in most of its major markets directly to customers through its retail and online stores and its direct sales force. The Company sells its services in the same markets through its various service platforms. The Company also employs a variety of indirect distribution channels, such as third-party cellular network carriers and other resellers, for the sale of its products and certain of its services. During 2025, the Companys net sales through its direct and indirect distribution channels accounted for 40% and 60%, respectively, of total net sales. Competition The markets for the Companys products and services are highly competitive and are characterized by aggressive price competition, downward pressure on gross margins, continual improvement in product performance, and price sensitivity on the part of consumers and businesses. The markets in which the Company competes are further defined by frequent introduction of new products and services, short product life cycles, evolving industry standards, and rapid adoption of technological advancements by competitors. Many of the Companys competitors seek to compete primarily through aggressive pricing and very low cost structures, and by imitating the Companys products and infringing on its intellectual property. Apple Inc. | 2025 Form 10-K | 2 The Companys ability to compete successfully depends heavily on ensuring the continuing and timely introduction of innovative new products, services and technologies to the marketplace. The Company designs and develops nearly the entire solution for its products, including the hardware, operating system, numerous software applications and related services. Principal competitive factors important to the Company include price, product and service features (including security features), relative price and performance, product and service quality and reliability, design and technology innovation, a strong third-party software and accessories ecosystem, marketing and distribution capability, service and support, corporate reputation, and the ability to effectively protect and enforce the Companys intellectual property rights. The Company is focused on expanding its market opportunities related to smartphones, personal computers, tablets, wearables and accessories, and services. The Companys products and services face substantial competition from companies that have significant technical, marketing, distribution and other resources, as well as established hardware, software, and service offerings with large customer bases. In addition, the Company faces significant competition as competitors imitate the Companys product features and applications within their products to offer more competitive solutions. The Company also expects competition to intensify as competitors imitate the Companys approach to providing components seamlessly within their offerings or work collaboratively to offer integrated solutions. Some of the Companys competitors have broad product lines, low-priced products, large installed bases of active devices, and large customer bases. Competition has been particularly intense as competitors have aggressively cut prices and lowered product margins. Certain competitors have the resources, experience or cost structures to provide products and services at little or no profit or even at a loss. The Company has a minority market share in the global smartphone, personal computer, tablet and wearables markets, and some of the markets in which the Company competes have from time to time experienced little to no growth or contracted overall. Supply of Components Although most components essential to the Companys business are generally available from multiple sources, certain components are currently obtained from single or limited sources. The Company also competes for various components with other participants in the markets for smartphones, personal computers, tablets, wearables and accessories. Therefore, many components used by the Company, including those that are available from multiple sources, are at times subject to industry-wide shortage and significant commodity pricing fluctuations. Restrictions on international trade can increase the cost or limit the availability of the Companys products and the components and rare earths and other raw materials that go into them. The Company uses some custom components that are not commonly used by its competitors, and new products introduced by the Company often utilize custom components available from only one source. When a component or product uses new technologies, initial capacity constraints may exist until the suppliers yields have matured or their manufacturing capacities have increased. The Company has entered into agreements for the supply of many components; however, the Company may not be able to extend or renew agreements for the supply of components on similar terms, or at all, and may not be successful in obtaining sufficient quantities from its suppliers or in a timely manner, or in identifying and obtaining sufficient quantities from an alternative source. In addition, component suppliers may

fail, be subject to consolidation within a particular industry, or decide to concentrate on the production of common components instead of components customized to meet the Companys requirements, further limiting the Companys ability to obtain sufficient quantities of components on commercially reasonable terms, or at all. Research and Development Because the industries in which the Company competes are characterized by rapid technological advances, the Companys ability to compete successfully depends heavily upon its ability to ensure a continual and timely flow of competitive products, services and technologies to the marketplace. The Company continues to develop new technologies to enhance existing products and services, and to expand the range of its offerings through research and development (R&D), licensing of intellectual property and acquisition of third-party businesses and technology.

Intellectual Property The Company currently holds a broad collection of intellectual property rights relating to certain aspects of its hardware, software and services. This includes patents, designs, copyrights, trademarks, trade secrets and other forms of intellectual property rights in the U.S. and various foreign countries. Although the Company believes the ownership of such intellectual property rights is an important factor in differentiating its business and that its success does depend in part on such ownership, the Company relies primarily on the innovative skills, technical competence and marketing abilities of its personnel. The Company regularly files patent, design, copyright and trademark applications to protect innovations arising from its hardware, software and service research, development, design and marketing, and is currently pursuing thousands of applications around the world. Over time, the Company has accumulated a large portfolio of issued and registered intellectual property rights around the world. No single intellectual property right is solely responsible for protecting the Companys products and services. The Company believes the duration of its intellectual property rights is adequate relative to the expected lives of its products and services.

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In addition to Company-owned intellectual property, many of the Companys products and services include technology or intellectual property that must be licensed from third parties. It may be necessary in the future to seek or renew licenses relating to various aspects of the Companys products, processes and services. While the Company has generally been able to obtain such licenses on commercially reasonable terms in the past, there is no guarantee that such licenses could be obtained in the future on reasonable terms or at all.

Business Seasonality and Product Introductions The Company has historically experienced higher net sales in its first quarter compared to other quarters in its fiscal year due in part to seasonal holiday demand. Additionally, new product and service introductions can significantly impact net sales, cost of sales and operating expenses. The timing of product introductions can also impact the Companys net sales to its indirect distribution channels as these channels are filled with new inventory following a product launch, and channel inventory of an older product often declines as the launch of a newer product approaches. Net sales can also be affected when consumers and distributors anticipate a product introduction.

Human Capital The Company believes that its people play an important role in its success, and strives to attract, develop and retain the best talent. The Company works to create a culture of collaboration, one where people with a broad range of backgrounds and perspectives can come together to innovate and do the best work of their lives. The Company is an equal opportunity employer committed to inclusion and to providing a workplace free of harassment or discrimination. As of September 27, 2025, the Company had approximately 166,000 full-time equivalent employees. The Company believes that compensation should be competitive and equitable, and offers discretionary cash and equity awards to enable employees to share in the Companys success. The Company recognizes its people are most likely to thrive when they have the resources to meet their needs and the time and support to succeed in their professional and personal lives. In support of this, the Company offers a wide variety of benefits for employees around the world, including health, wellness and time away. The Company invests in resources to help its people develop and achieve their career goals. The Company offers programs through Apple University on leadership, management and influence, as well as Apple culture and values. Team members can also take advantage of online classes for business, technical and personal development. The Company believes that open and honest communication among team members, managers and leaders helps create an open, collaborative work environment where everyone can contribute, grow and succeed. Team members are encouraged to come to their managers with questions, feedback or concerns, and the Company conducts surveys that gauge employee sentiment in areas like career development, manager performance and inclusion. The Company is committed to the safety and security of its team members everywhere it operates. The Company supports employees with general safety, security and crisis management training, and by putting specific programs in place for those working in potentially high-hazard environments.

Available Information The Companys Annual Reports on Form 10-K, Quarterly Reports on Form 10-Q, Current Reports on Form 8-K, and amendments to reports filed pursuant to Sections 13(a) and 15(d) of the Securities Exchange Act of 1934, as